

was sufficiently conspicuous to bind Nicholas Smurro and his “heirs, executors, administrators, successors or assigns”, including Plaintiff. (Bacon Decl. ¶ 8, Ex. B.)

### **Unconscionability**

A court may refuse to enforce an arbitration agreement that is unconscionable. (Civ. Code, § 1670.5.) Whether a provision is unconscionable is a question of law. (Civ. Code, § 1670.5(a); *Flores v. Transamerica* (2001) 93 Cal.App.4th 846, 851.)

“If the court as a matter of law finds the contract or any clause of the contract to have been unconscionable at the time it was made the court may refuse to enforce the contract, or it may enforce the remainder of the contract without the unconscionable clause, or it may so limit the application of any unconscionable clause as to avoid any unconscionable result.” (Civ. Code, § 1670.5(a); *Armendariz v. Foundation Health Psychcare Services, Inc.* (2000) 24 Cal.4th 83, 122.) The absence of a severability clause is irrelevant to the determination of whether the offensive provisions are “severable” for purposes of unconscionability analysis. Severability is decided as a matter of state law. (*Terminix Int’l Co., LP v. Palmer Ranch Ltd. Partnership* (11th Cir. 2005) 532 F.3d 1327, 1331.)

Unconscionability has a procedural and a substantive element: the procedural element focuses on the existence of oppression or surprise and the substantive element focuses on overly harsh or one-sided results. (*Armendariz*, 24 Cal.4th at 114.)

To be unenforceable, a contract must be both procedurally and substantively unconscionable, but the elements need not be present in the same degree. The analysis employs a sliding scale: “. . . the more substantively oppressive the contract term, the less evidence of procedural unconscionability is required to come to the conclusion that the term is unenforceable, and vice versa.” (*Armendariz*, 24 Cal.4th at 114; *Mercuro v. Super. Ct.* (2002) 96 Cal.App.4th 167, 174-175.)

Procedural unconscionability concerns the manner in which the contract was negotiated and the parties’ circumstances at that time. It focuses on the factors of oppression or surprise. (*Kinney v. United HealthCare Services, Inc.* (1999) 70 Cal.App.4th 1322, 1329.)

Absent no other indication of oppression or surprise, the degree of

procedural unconscionability of an adhesion agreement—including nonnegotiated employment contracts—is low. (*Ajamian v. CantorCO2e, LP* (2012) 203 Cal.App.4th 771, 796; *in accord, Wisdom v. AccentCare, Inc.* (2012) 202 Cal.App.4th 591, 597; *Dotson v. Amgen, Inc.* (2010) 181 Cal.App.4th 975, 980-981; *Roman v. Super. Ct.* (2009) 172 Cal.App.4th 1462, 1471; *Mercuro v. Super. Ct.* (2002) 96 Cal.App.4th 167, 175.)

“By their nature, internet contracts almost always fall into the category of adhesion contracts. ‘ “The term [contract of adhesion] signifies a standardized contract, which, imposed and drafted by the party of superior bargaining strength, relegates to the subscribing party only the opportunity to adhere to the contract or reject it.” ’ [Citations.] In an internet transaction, the contractual terms are drafted solely by the provider and placed most often on a separate webpage that is accessible only if the user sees and clicks on a hyperlink. The consumer usually does not have any direct contact with the provider and, thus, even if the consumer is aware of the terms the provider wishes to impose, the consumer does not have *any* ability to bargain. Thus, the terms are offered on a purely take-it or leave-it basis. [Citation.]” (*Sellers*, 73 Cal.App.5th at 464.)

Due to the adhesive nature of the internet Arbitration Agreement, Plaintiff has shown some procedural unconscionability.

In assessing substantive unconscionability, the “paramount consideration” is mutuality of the obligation to arbitrate. (*Nyulassy v. Lockheed Martin Corp.* (2004) 120 Cal.App.4th 1267, 1287.) Here, the arbitration clause includes mutuality. It states “[u]nder this clause, which you agree to when you sign your account application, you and Fidelity agree as follows: All parties to this agreement are giving up the right to sue each other in court, including the right to a trial by jury, except as provided by the rules of the arbitration forum in which a claim is filed ....” (Bacon Decl. ¶ 8, Ex. B.) Plaintiff has not demonstrated any substantive unconscionability.

Because both procedural and substantive unconscionability must be present, the Arbitration Agreement is not unconscionable. Fidelity’s petition to compel arbitration is granted.

**James Smurro**

Fidelity confirms that it does not seek to compel any claims asserted by Plaintiff against James Smurro to binding arbitration.

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|    |  | <p>(Reply at 3:25-4:1.)</p> <p><b>Stay of Proceedings</b></p> <p>Fidelity’s motion to stay the action as to Fidelity pending completion of the arbitration proceedings is granted. (See 9 U.S.C. § 3 [if a court determines that a suit or proceeding may be referred to arbitration under the FAA, it “shall” issue a stay pending the completion of arbitration upon a motion from either party].)</p> <p>Unlike Code of Civil Procedure section 1281.2(c), the FAA does not grant courts the discretion to stay proceedings where some parties to the action are not parties to the arbitration agreement or when proceedings in different forums could result in conflicting rulings on common issues of law or fact. (<i>Valencia v. Smyth</i> (2010) 185 Cal.App.4th 153, 157, citing 9 U.S.C. §§ 3, 4.)</p> <p>Defendant Fidelity Brokerage Services, LLC to give notice.</p> |
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